prepared to pay more for the product and consequently the products are at a premium. It is safe usually to invest in such companies as there will always be a demand.

3. *Capital Requirement:* Easy entry industries require little capital and technological expertise. As a consequence, there are a multitude of competitors, intense competition, low margins and high costs. On the other hand, capital intensive industries with a large capital base and high fixed cost structure have few competitors as entry is difficult. The automobile industry is a prime example of such an industry. Its high fixed costs have to be serviced and a fall in sales can result in a more than proportionate fall in profits. Large investments and a big capital base will be barriers to entry.
4. *Switching Costs:* Another barrier to entry could be the cost of switching From one supplier's product to another. This may include employee retraining costs, cost of equipment and the likes. If the switching costs are high, new entrants have to offer a tremendous improvement for the buyer to switch. A prime example is computers. A company may be using a honeywell computer. If it wishes to change to an IBM computer, all the terminals, the unit and even the software would have to be changed.
5. *Access to Distribution Channels:* Difficulty in securing access to distribution channels can be a barrier to entry, especially if existing firms already have strong and established channels.
6. *Cost Disadvantages Independent of Scale:* This barrier occurs when established firms have advantages new entrants cannot replicate. These include:

- Proprietary product technology;
- Favourable access to raw materials;
- Government subsidies;
- Long learning curves.

A prime example is Coca Cola. The company has proprietary product technology. Similar cold drinks are available but it is not easy for a competitor to compete with it.